Energy and Environment Outlook

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China proposed new export restrictions on solar manufacturing equipment and, unlike prior attempts, these are likely to be approved; in copper markets

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China to restrict solar exports as US holds copper tariffs steady

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Beijing likely to approve export controls on solar manufacturing equipment
By Herbert Crowther

On 16 October, China's Ministry of Commerce (MOFCOM) proposed new export restrictions on solar and polysilicon manufacturing equipment. Solar was one of three technology groups proposed for new restrictions, alongside AI and biotech.

Outlook:

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Solar and polysilicon provisions are unlikely to be rolled back. MOFCOM’s influence is rising, and the Chinese solar industry’s influence is declining, trends that support the restrictions. The opposite was the case roughly three years ago when industry lobbying likely helped reverse a similar proposal for solar-related manufacturing technologies.
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Politics around next-generation solar are becoming more sensitive. MOFCOM’s proposal specifically targets perovskite and tandem cell technologies as fully prohibited for export, while current-generation equipment is only restricted. The distinction shows a growing split in Chinese policy toward next-generation and current-generation cleantech that will likely intensify during the 15th Five-Year Plan (FYP) period (see: Beijing will prioritize next-generation cleantech over mature technologies , 17

September 2026).

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MOFCOM’s framing of solar alongside AI and biotech suggests that solar tech is moving closer to the strategic sensitivity of batteries, particularly with respect to new overseas investments by Chinese manufacturers. For now, solar is still the cleantech segment with the lowest overall political sensitivity in Beijing.

Copper stockpiles will restrain US prices and tariffs

By Timothy Puko, Nancy Wei

US copper stockpiles have climbed to historic highs even as prices have soared to records. Those conflicting trends point to a pullback in US prices in the coming months. Macquarie estimates that US inventories—including both on- and off-exchange warehouses—now total roughly 1.6 million tons, equivalent to the US government's estimate for all reported, refined consumption nationwide in 2025.

Traders and analysts gathered in London last week for LME Week were preoccupied with proposed US tariffs. Importers and other buyers have sent large volumes of copper into US warehouses to front-run tariff increases. Many in London expected that a likely defeat for US President Donald Trump's Republican Party in the midterms would leave the president unrestrained by electoral politics and unconcerned about higher consumer prices, prompting him to pursue higher tariffs.

Outlook:

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Maximum tariffs and higher prices are a risk but remain the least likely outcome. Other factors still restrain Trump on copper, especially the damage higher tariffs might do to US defense and tech sectors that rely on it for equipment and new electric power capacity.

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The White House is more likely to punt on higher levies indefinitely, exercising its right to ignore a January deadline on tariffs recommended in last year’s Section 232 investigation (see: Infrastructure limitations and price fears will constrain Trump’s metals tariffs , 1 August 2025). The threat of tariffs is the powerful draw bringing copper to the US, and the incentive is to keep it alive. The administration also has part of what it wants: a de facto national stockpile. The large volume of copper now sitting in US warehouses reduces the need to absorb the costs that higher tariffs would impose.

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Taken together, these factors point to a pause in copper’s rally. Prices are already up more than 60% in two years amid high expectations for tariffs. It would be hard for the administration to exceed those expectations even if it announced dramatically higher levies. While the long-term geopolitics of copper are still bullish, the tariff trade is approaching the downside of a buy-the-rumor-sell-the-fact dynamic by the first quarter of 2027.

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In the meantime, international players are getting squeezed, and other inventories globally are shrinking as supply gets drawn into the US. Beijing, in particular, is reacting strongly as it seeks to protect its own effort to diversify upstream copper supply (see: China State-directed overseas mining push will reinforce supply chain dominance , 22 June 2026). On 2 October, Reuters reported that Chinese authorities have asked Anglo American to commit concentrate supplies to Chinese smelters as a condition for approving the company’s pending merger with Teck Resources.

EU Critical Raw Materials Centre proposal still lacks funding

By Jesus Renzullo, Timothy Puko

On 20 October, the EU parliament approved a modification of the Critical Raw Materials Act (CRMA) that creates a Critical Raw Materials Centre focused on market intelligence, resilience planning, stockpiling, joint purchasing, stakeholder engagement, and financial instruments for critical raw material projects. The proposal expands the EU's toolset to include joint purchasing power, price stabilization mechanisms, and the ability to take equity stakes in companies in exceptional circumstances. Together, these tools would put Brussels at par with other consumer countries, but major limitations remain.

Outlook:

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Limited funding will continue to weigh on Europe's mineral policy. The proposed modification of the CRMA would provide an extra €2 billion for the center from the EU's next long-term budget. By comparison, Washington's spending on minerals is on pace to reach nearly $20 billion a year through the first half of Trump's term (see: Global Minerals Update Ahead of LME Week , 20 October 2026); Beijing plans to start spending the equivalent of at least $24 billion a year just on mining investment abroad (see: China, the middle powers, and the global minerals race , 26 July 2026). Brussels will still need private capital to fund most investment in strategic projects and ventures.

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That funding gap will allow competing world powers to outmaneuver Europe in the contest for influence and control over key assets (see: EU critical minerals strategy will continue to lag behind competitors, 1 October 2026). The next signpost could be what happens with the French processing plant in La Rochelle, one of the only plants outside of China that can separate all 17 rare earth elements. On 8 September, Reuters reported that its owner, the Belgian chemicals group Solvay, is in talks with the private equity firm One Investment Management about a strategic partnership for its rare earths business.

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Private capital is unlikely to invest in EU assets long-term unless public equity and price-stabilization mechanisms are paired with swift permitting. The EU Council also still needs to discuss and approve the parliament's latest proposal. Those negotiations are likely to dilute the plan because major EU funders such as Germany remain skeptical.

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Despite the funding constraints, the center's creation would give the EU all the necessary policies to compete more effectively in the minerals race. Brussels is modeling it after Japan's Japan Organization for Metals and Energy Security (JOGMEC), which has served as Tokyo's critical resource procurement arm with autonomy, funding, and a clear mandate to prioritize access security over efficiency. If the EU provides the center with the expected autonomy and, eventually, sufficient funding, it could become a game-changing policy tool for Europe (see: Critical Minerals Policy Outlook for Consumer Countries , 6 March 2026).

Germany secures gas to get through the coming winter

By Henning Gloystein

Germany has secured €245 million ($274 million) of additional natural gas supplies for the upcoming high-demand winter heating season, which officially starts on 1 November and lasts until 31 March. Trading Hub Europe (THE), a government-owned body tasked with coordinating and ensuring the security of gas supply in Germany, secured the gas.

THE said special tenders aimed at safeguarding supply for February and March 2027 cost about €107 million. That spending comes on top of another €137 million for standard tenders which THE has used to ensure gas supply throughout winter, including for short-notice and regional gas shortages.

Outlook:

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The purchases for late winter will ensure Germany has enough gas for the entire heating season despite low inventory levels. German gas storage facilities will be filled to less than 65% by the end of October, about 10% less than this time last year. Stored gas is enough to cover roughly one month of peak winter demand.

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The German weather service, DWD, currently expects a relatively cold start to winter, with lower-than-average temperatures dominating through mid- to late November. That outlook implies German gas inventories will start to draw down early in the heating season.

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The gas deliveries now secured by THE for early 2027 will therefore help either refill gas inventories if the second half of winter is mild as DWD currently expects, or at least ensure sufficient supply in case of a late winter cold snap.

Adaptation and bilateral deals will define new UN environmental era

By María José (Majo) Valverde

Bilateral deals and coalitions are sidelining formal UN environmental negotiations as governments take a more pragmatic approach to international climate policy. National governments want more balance between economic growth and long-term resilience, so this year's trifecta of biodiversity (COP17, Armenia, October), climate (COP31, Turkey, November), and water (UNWC, UAE, December) summits will run on parallel tracks alongside bilateral agreements and public-private partnerships. The pattern was already visible at COP30, when separate roadmaps on deforestation and fossil fuel phase-out emerged because both issues threatened to stall broader negotiations.

Outlook:

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UN multilateral processes will lose relevance as national interests crowd out cooperation. Key players, the US chief among them, are moving quickly and according to their own interests—prompting others to do the same rather than collaborate. The values-based ambitions of civil-society groups carry little political weight, widening the gap between NGO expectations and the reality facing governments and the private sector. Combined with declining development aid, that shift is making UN processes progressively less consequential for concrete near-term action.

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Developed-country climate funding is unlikely to recover to past levels, leaving the most vulnerable behind. Defense spending and domestic priorities, including electrification, are taking precedence. Funding will increasingly flow toward middle-income countries with more stable political and macroeconomic profiles, at the expense of concessional support for more vulnerable economies. New donors, including China and Middle Eastern countries, are filling some of the gap through bilateral vehicles such as the Belt and Road Initiative and AI-driven environmental data services, but often on terms that do not align with recipient countries’ interests.

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Adaptation and resilience will become the defining themes of UN environmental processes. Long framed as defeatist and chronically underfunded, adaptation is being recast as resilience planning, a requirement for both governments and the private sector. Rising food and commodity prices from El Niño effects, escalating costs from wildfires and storms, and public health threats linked to climate change are accelerating demand for adaptation solutions. Donor countries and corporations in the Global North, facing their own adaptation pressures, will increasingly seek to protect their supply chains through bilateral partnerships and targeted investment.

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